NVIDIA Corporation (NVDA)

Guide implies deceleration; moving to Equal-weight

Rating	**Equal-weight**
Price target (12-18 month)	**$155**
Price (May 28, 2026 close)	**$149.01**
Implied return	**4%**
Market cap	**$3,626 billion**
Analyst	**Victor Hale, CFA**

Key points

• Q1 FY2027 revenue of $41.5 billion (34% y/y) versus consensus $42.1 billion; non-GAAP EPS $0.99 versus $0.99 consensus.

• Data Center remains supply constrained; HBM and CoWoS allocations for 2026 are fully committed.

• Guidance for Q2 FY2027 is $50.2 billion ±2%; the implied sequential growth is the slowest in nine quarters.

• China-related revenue is now less than 5% of Data Center after the export-licence charge; incremental restrictions are a smaller risk than a year ago.

Our view

NVIDIA delivered a respectable quarter, but we think the shares already discount the good news. Data Center grew 38%; the debate from here is about the second derivative rather than the direction.

Management's commentary struck a balanced tone. We raise our estimates: see the table below. Our rating is relative to our Semiconductors coverage and our price target horizon is 12-18 month.

Estimates

	FY2026A	FY2027E	FY2028E
Revenue ($bn)	170.9	237.0	328.7
EPS (non-GAAP)	$4.05	$5.65	$7.87
P/E at current price	36.8x	26.4x	18.9x
Dividend per share	$0.04	$0.04	$0.04

EPS in this table is on a non-GAAP basis. Fiscal years are the company's.

Valuation

Our $155 price target is based on 20x our FY2028 EPS estimate, a premium to the stock's three-year average multiple, cross-checked with a DCF (WACC 8.0%, terminal growth 2.8%).

Risks to our view

• Hyperscaler capex digestion

• Custom silicon displaces merchant GPUs faster than expected

• Further export restrictions

Important disclosures

Analyst certification: I, Victor Hale, certify that the views expressed in this report accurately reflect my personal views about the subject securities and that no part of my compensation was, is or will be directly or indirectly related to the specific recommendations or views in this report.
Rating definitions: Westbrook Securities uses a 3-point scale: Overweight, Equal-weight, Underweight. Ratings reflect expected total return relative to the analyst's coverage universe over a 12-18 month horizon. Westbrook Securities ratings are not directly comparable with those of other firms.

Rating category	Count	% of coverage	% investment banking clients
Overweight	26	25%	20%
Equal-weight	39	38%	30%
Underweight	38	37%	40%

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